IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P (CAA) No. 2/BB/2018
U/sec.230-232 of the Companies Act, 2013
Order Delivered on: **6TH April 2018**

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

IN THE MATTER OF SCHEME OF ARRANGEMENT
BETWEEN
UNIVERSAL PRINT SYSTEMS LIMITED
AND
MANIPAL UTILITY PACKAGING SOLUTIONS PRIVATE LIMITED
AND
THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Manipal Utility Packaging Solutions Private Limited,
Udayavani Building,
Press Corner,
Manipal-576104 - **Petitioner/Transferee Company**

Parties Present :
1) Mr. C. Prabhakar, New No. 74, Old No.62, 3rd floor, Akshaya Flats, 12th Avenue, Ashok Nagar, Chennai-600083– Practicing Company Secretary for the Petitioner Company
2) Ms. Prema Hatti, Standing Counsel
Advocate for the Regional Director and ROC.

Per: **Hon'ble Shri Ratakonda Murali, Member (Judicial)** – Author

Heard on: 22/01/2018, 01/02/2018, 05/03/23018, 14/03/2018, 19/03/2018 & 21/03/2018.

O R D E R

This Company Petition was filed on behalf of the Petitioner Company under Section 230 and 232 of the Companies Act, 2013, praying to order for sanctioning the Scheme of Arrangement of the Transferor Company and the Petitioner/Transferee Company and shall be binding upon all the Shareholders and Creditors of the Petitioner Company.

The averments made in the Company Petition are briefly described hereunder:-

The Petitioner Company seeks an order for sanctioning the Scheme of Arrangement whereunder **UNIVERSAL PRINT SYSTEMS LIMITED** (Transferor Company) is proposed to be merged into **MANIPAL UTILITY PACKAGING SOLUTIONS PRIVATE LIMITED** (Petitioner/Transferee Company) and shall be binding upon all the Shareholders and Creditors of the Petitioner Company. The Scheme of Arrangement is shown as **Annexure A.**

The Transferor Company was incorporated on 14th June 1995 under the name and style as UNIVERSAL PRINT SYSTEMS LIMITED in the State of Tamilnadu having Certificate of Incorporation vide bearing CIN No. **U22213TN1995PLC031845.**

The Registered office of the Transferor Company is situated at No.9. Montieth Lane, Egmore, Chennai-600008, Tamil Nadu and the Corporate Office is at Udayavani Building, Press Corner, Manipal-576104, Karnataka.

The Main objects of the Transferor Company as set out in its Memorandum of Association are, inter alia includes, hereunder:

i.) To carry on the business of scanners and process house, colour separation, block making, plate making and printing.

ii.) To carry on trade or business of photographers, studio and colour labs, and to purchase, sell, export, import, maintain, repair, hire, rent cameras of all types and descriptions, films, cartridges for all types of cameras, photo albums, colour packs, photo papers, enlargers, developers and Photostat equipments and primarily engaged in the Business of manufacturing of non-adhesive and Self-Adhesive Label Printing Business etc.

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the Transferor Company are shown as **Annexure B.**

The Authorised Share Capital of the Transferor Company as per latest Audited Balance Sheet is Rs. 12,00,00,000/- and the Issued, Subscribed and Paid up Share Capital is Rs. 8,20,01,000/-.

The Petitioner/ Transferee Company was incorporated on 15th February 2008 under the name and style as **MANIPAL UTILITY PACKAGING SOLUTIONS PRIVATE LIMITED,** having Certificate of Incorporation vide bearing CIN No. **U21014KA2008PTC045299**.

The Registered office of the Petitioner/Transferee Company is situated at Udayavani Building, Press Corner, Manipal-576104, Karnataka.

The Main Object's of the Petitioner/Transferee Company as set out in the Memorandum of Association are, inter alia includes, hereunder:

i.) to carry on in India or elsewhere the business of manufacturing, producing, processing, preparing, fabricating, marketing, selling of packaging material like printed and un printed cartons, boxes, blanks, corrugated boxes, cans of all shapes and sizes, varieties and is primarily engaged in the manufacturing of folding cartons, corrugated boxes and rigid boxes i.e., packaging businesses etc.,

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the Petitioner/Transferee Company are shown as **Annexure D.**

The Authorised Share Capital of the Petitioner/Transferee Company as per latest Audited Balance Sheet is Rs. 35,00,00,000/- and the Issued, Subscribed and Paid up Share Capital is Rs. 33,30,00,000/-.

It is averred in the petition that, the circumstances and /or reasons which justify and/or necessitate the proposed Scheme of Arrangement and some of the major benefits which will accrue there from are, inter alia, as follows:

a) The Amalgamation results in a combined strength where the Transferor Company's capabilities, product portfolios and pipeline complement with the Transferee Company's existing packaging business.
b) The Amalgamation will strength the foothold of the Transferee Company's in the packaging business.
c) The focus and activities of both the Transferor Company and Petitioner/Transferee Company complement each other and as such, the consolidation of their efforts and resources would lead to a simplified

corporate structure focused on capitalizing upon economies of scale, efficiency, optimization of logistic and distribution network and other related economies by consolidating the business operations of the Transferor Company and Petitioner/Transferee Company.

d) The Transferee Company will have the benefit of the combined resources of Transferor Company and Petitioner/Transferee Company. The Transferee Company would be in a position to carry on consolidated operations through optimum utilization of resources and better financial strength.

It is further stated that, in consideration of the transfer and vesting of the undertaking of the Transferor Company in terms of the scheme, the Transferee Company shall discharge consideration to the Equity Shareholders of the Transferor Company, whose names appear in the Register of Members of the Transferor Company as the holder of Equity Shares, based on the following modes to such Equity Shareholders of the Transferor Company.

(a) EQUITY SHARE CONSIDERATION:

One (1) Equity share of Rs 10/- each fully paid of the Transferee Company for One (1) Equity share of Rs 10/- each fully paid of the Transferor Company to the following Equity Shareholders of the Transferor Company ('the New Equity Shares').

Sl. No.	Name of the Shareholder	No. of Shareholder	No. of share held	%
1	Promoter – Manipal Technologies Limited	1	73,91,310	90.14
		1	73,91,310	90.14

(b) CASH CONSIDERATION:

Rs 14.72/- for every equity share of Rs 10/- each fully paid up to the "Public Shareholders" who is holding 9.86% value of Equity share in the Transferor Company.

The Valuation Reports of the Transferor Company and Petitioner/Transferee Company as on 31st March 2017 is shown as **Annexure-G**.

The Board of Directors of the Transferor Company and Petitioner/Transferee Company have unanimously approved and adopted the Scheme of Arrangement at their respective meetings held on 5th June 2017 by virtue of which the **Transferor Company** is proposed to be merged into the **Transferee Company**, subject to the confirmation of this Hon'ble Tribunal and the Hon'ble NCLT at Tamilnadu, within whose jurisdiction, the registered offices of the Transferee Company and Transferor Companies respectively are situated. The copies of the Board Resolutions of the respective Companies are shown as **Annexure-F1, F2 & F3** respectively.

It is further averred that, the Petitioner /Transferee Company had filed Company Application CA(CAA) No. 69/BB/2017 before this Tribunal for dispensing the Secured & Unsecured Creditors Meeting and the Equity Shareholders Meeting. This Tribunal vide its **Order dated 26th October 2017** allowed the Company Application and dispensed with the convening the meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner /Transferee Company and directed to convene the meeting of Trade Creditors on 5th December 2017. The Tribunal appointed Mr. Tekkar Yashwanth Prabhu, to act as Chairperson and Mr. Perdoor Vaman Mallya as the Scrutinizer for the said meeting. The Copy of the Order of this Tribunal is shown as **Annexure- K.**

It is averred that, the meeting of the Trade Creditors of the Petitioner/Transferee Company was duly convened in pursuance to the Order of this Tribunal and Mr. Tekkar Yashwanth Prabhu, Director of the Petitioner/Transferee Company, who was appointed by this Hon'ble Tribunal to act as Chairman of the said meeting presided over the same. The said Chairman has reported the result of the meetings of the Trade Creditors on 5th December 2017 stating that the scheme in the said meeting was approved unanimously. A copy of the Chairman's Report and Affidavit are shown as **Annexure – L.**

This Tribunal vide Order dated 1st February 2018 has directed the Petitioner Company to issue Notice to Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad; Registrar of Companies, Karnataka

and concerned Income Tax Department and also to have an advertisement of Notice of Petition be carried out in the '**Financial Express**', an English daily Newspaper and '**Kannada Prabha**', a Kannada daily Newspaper and stating the next date of hearing was on 5th March, 2018.

The Practicing Company Secretary for the Petitioner Company has filed the compliance **Memo dated 5th March 2018** of the Authorised Signatory of the Petitioner Company stating that, in pursuance to the order of this Tribunal dated 1st February 2018 Notice to Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad, Registrar of Companies, Karnataka, Bangalore and concerned Income Tax Department and also advertisement of Notice of Petition be carried out in the '**Financial Express**', an English daily Newspaper and '**Kannada Prabha**', a Kannada daily Newspaper and stating the next date of hearing was on 5th March, 2018.

The Registrar of Companies, Karnataka, Bangalore vide letter No. ROCB/LEGAL/CAA-3/BB/2017 **dated 6th December 2017** has filed his Report in this case. He has stated in his report that, there are no prosecutions, complaints, technical scrutiny/inspection pending against the companies and he observed that, petition may be decided on merits.

However, the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad has filed **Affidavit dated 1st February 2018** through Registrar of Companies, Karnataka, Bangalore, wherein he has observed that, the Directorate has no objection to the scheme, subject to the following:

> "That clause 3.3.3 of scheme provides that the equity shares held by Transferee Company in Transferor Company will get cancelled as on the effective date and there shall be no further obligation in that behalf. The Transferor's entire shareholding of 90.24% is held by MTL and remaining by public shareholders, and the Transferee Company does not hold any shares in the Transferor Company. Thus, this clause is factually incorrect. Hence, the Transferee Company may be advised to file an affidavit seeking deletion of this clause before the Hon'ble NCLT and the Hon'ble NCLT may like to accordingly deal with/address the matter in its order for the purpose of clarity".

In pursuance to the observations made by the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad. This Tribunal vide its order dated 14th March 2018 has directed to file revised amended copy of Scheme with Board Resolution.

Thereafter, the Practicing Company Secretary for the Petitioner Company has filed Affidavit **dated 28th February 2018** of the Company Secretary over the report of Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad. He has stated in the Affidavit that, as directed by the Regional Director that, Clause 3.3.3 of Scheme of Arrangement has been deleted.

The Petitioner Company also filed the amended copy of the Scheme of Arrangement.

The Petitioner Company has filed **Memo dated 19th March 2018** alongwith certified copy of resolution passed by the Board of Directors permitting the company to delete Clause 3.3.3 of Scheme of Arrangement and accordingly Amended Scheme has been filed.

Thus the objection raised by the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad has been complied and there is no impediment to approve the Scheme of Arrangement.

The Practicing Company Secretary for the Petitioner Company has filed Accounting Treatment Certificate of the Chartered Accountant **dated 11th January, 2018** stating that, they are going to adopt the Accounting Treatment as per clause 3.3 of the Scheme, in compliance with the Applicable Accounting Standards notified by the Central Government under the Act. The Copy of the said Certificate is enclosed to the Company Petition.

After hearing the Practicing Company Secretary for the Petitioner Company and considering the material on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy,

THIS TRIBUNAL DO FURTHER ORDER

The Amended Scheme of Arrangement by which **UNIVERSAL PRINT SYSTEMS LIMITED** (Transferor Company) is proposed to be merged into **MANIPAL UTILITY PACKAGING SOLUTIONS PRIVATE LIMITED** (Petitioner/Transferee Company) and shall be binding upon all the Shareholders and Creditors of the Petitioner Company is **SANCTIONED**.

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Petitioner/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Petitioner/Transferee Company for all the state and interest of the Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Petitioner/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Petitioner/Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Company be continued by or against the Petitioner/Transferee Company, if any; and

The Transferor Company shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Amended Scheme shall be effective from the appointed date as mentioned in the Scheme of Arrangement i.e. 31st March 2017 (close of business hours).

Any person shall be at the liberty to apply the tribunal in the above matter for any directions that may be necessary.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

6/4/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL